



**RESPONSIBLE
LUXURY**

ITC HOTELS

**A STUDY ON DOMESTIC CUSTOMER'S
ASPIRATIONS AND SATISFACTION TOWARDS
HOTEL FACILITIES: A CASE OF ITC HOTELS**



SUBMITTED TO : PROF. NAVAL BAJPAI

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INTRODUCTION

ITC Hotels Ltd is one of India's leading hospitality companies operating in the luxury, upscale, and premium hotel segments. Originally a part of ITC Ltd, the hotel business was demerged and listed separately in 2025. With a portfolio of renowned brands such as ITC Hotels, Fortune, Welcomhotel, Storii, and Mementos, the company has a strong presence across 90+ destinations and 200+ hotels in India. ITC Hotels is known for premium hospitality, sustainability, and strong brand equity in the Indian hotel industry.

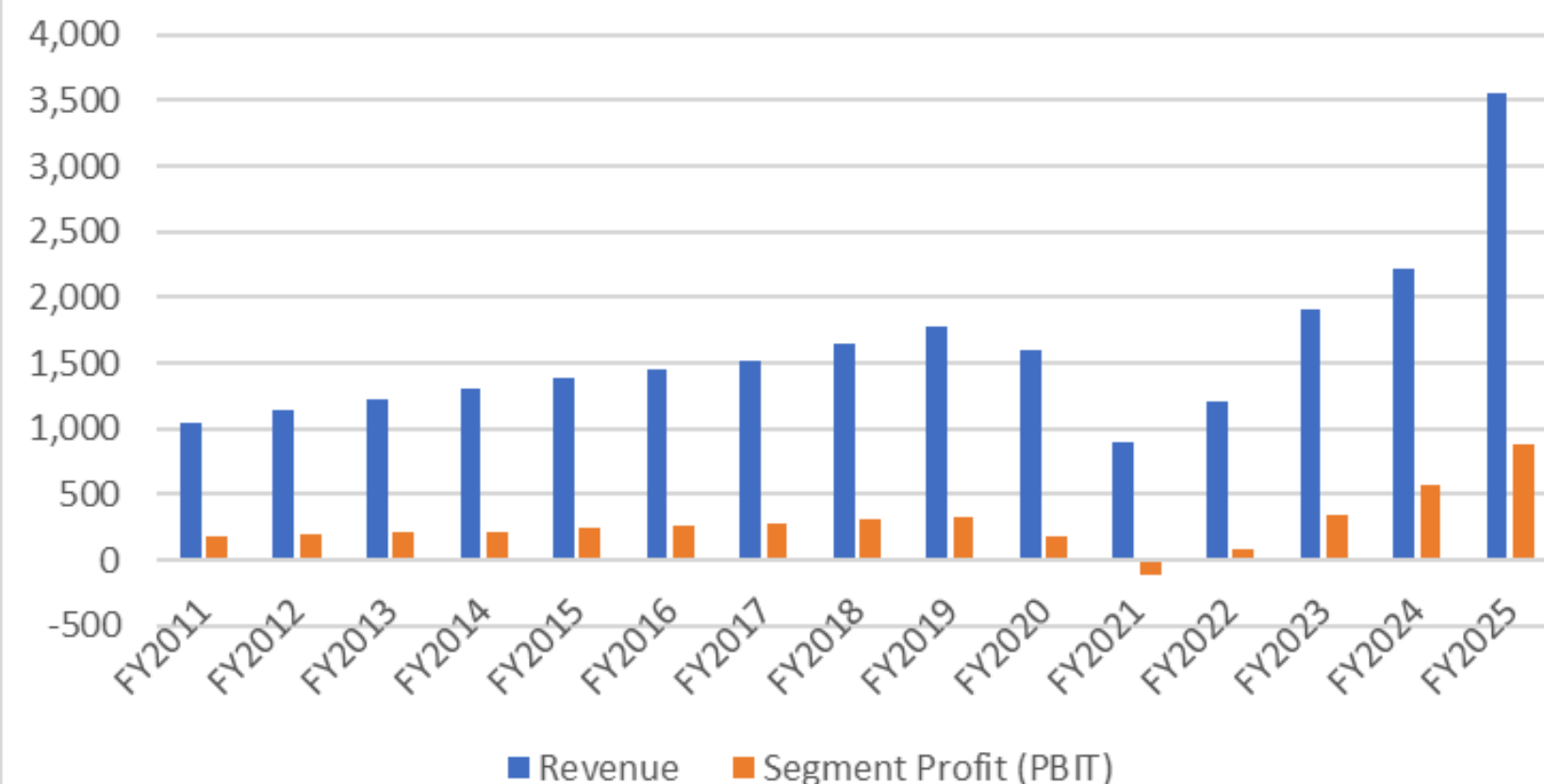


- Strong premium hotel portfolio
- High brand equity
- Low debt levels, Improving profitability
- Holds an estimated ~16% market share among major listed Indian hotel companies (by market capitalization)
- One of the leading players

**ITC HOTEL
MARKET SHARE
16.12 % | 29,530.36**

- INDIAN HOTELS CO
- EIH
- VENTIVE HOSPITALITY
- CHALET HOTELS
- LEELA PALACES HOTELS
- LEMON TREE HOTELS

Revenue and Profit of ITC HOTELS LTD.



THE CASE

ITC Limited has transformed from a tobacco-centric company into a diversified conglomerate.

Key diversification areas:

- FMCG
- Hotels
- Paper & packaging
- Agribusiness

Entry into hospitality was strategic, aiming to build:

- Premium brand image
- Service excellence
- Long-term value creation



THE PROBLEM

- ITC Hotels currently faces a strategic challenge:
 - Domestic customers have diverse and evolving expectations
 - Not all hotel facilities contribute equally to satisfaction
- Key Questions:
 - What do domestic customers value the most?
 - Which facilities influence hotel choice?
 - What drives satisfaction and repeat visits?

"UNDERSTANDING DOMESTIC CUSTOMER ASPIRATIONS IS THE KEY TO TRANSFORMING ITC HOTELS FROM A SERVICE PROVIDER INTO AN EXPERIENCE-DRIVEN BRAND."

RESEARCH OBJECTIVES

To study the aspirations and satisfaction of domestic customers regarding hotel facilities in the context of ITC Hotels.

OBJECTIVES

- To examine the effect of food and beverage quality on customer satisfaction
- To study the influence of room service quality
- To assess the impact of housekeeping / room cleanliness
- To evaluate the role of swimming pool facility
- To analyze the influence of recreation / leisure facilities
- To measure overall customer satisfaction
- To examine the effect on future revisit / recommendation intention



TARGET POPULATION

The survey should focus on domestic hotel customers such as:

- **Business travelers staying in ITC hotels**
- **Domestic leisure tourists**
- **Families traveling within India**
- **Couples / weekend travelers**
- **Premium and mid-segment hotel users**
- **Existing ITC hotel customers and potential customers**

LITERATURE REVIEW

- **Wilkins, Merrilees & Herington (2007)** –
Measuring Service Quality in the Hotel Industry
- **Marković & Raspor (2010)** – **Service Quality**
Dimension and Customer Satisfaction in the Hotel Industry
- **2024 Hospitality Study** – *An fsQCA Analysis of Service Quality for Hotel Customer Satisfaction*
- **Vos et al. (2019)** – *Measuring Perceived Cleanliness in Service Environments*
- **Getty & Getty (2003)** – *A Service Quality Evaluation Scale for the Hospitality Sector*

Key Findings

- Hotel service quality is multi-dimensional
- Cleanliness strongly affects satisfaction
- Food quality & room comfort influence hotel choice
- Leisure facilities enhance customer experience
- Customer satisfaction drives loyalty and recommendation



GOOGLE FORM - [CLICK HERE](#)

The Google Form consisted of the following sections:

- 1. Screening Questions – To identify relevant respondents
- 2. Hotel Selection Preferences – To understand important hotel choice factors
- 3. Service Expectations / Aspirations – Food & Beverage Quality, Room Service Quality, Housekeeping / Cleanliness, Swimming Pool Facility, Recreation / Leisure Facility
- 4. Satisfaction with Existing Hotel Experiences – To measure customer satisfaction levels
- 5. Future Behavior / Loyalty – Revisit and recommendation intention
- 6. Improvement Suggestions – To collect customer recommendations
- 7. Demographic Information – Age, gender, occupation, income, etc.

QUESTIONNAIRE DESIGN & DATA COLLECTION TOOL

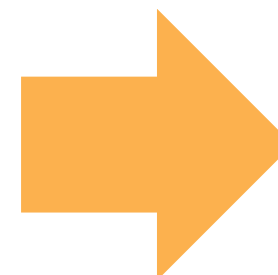
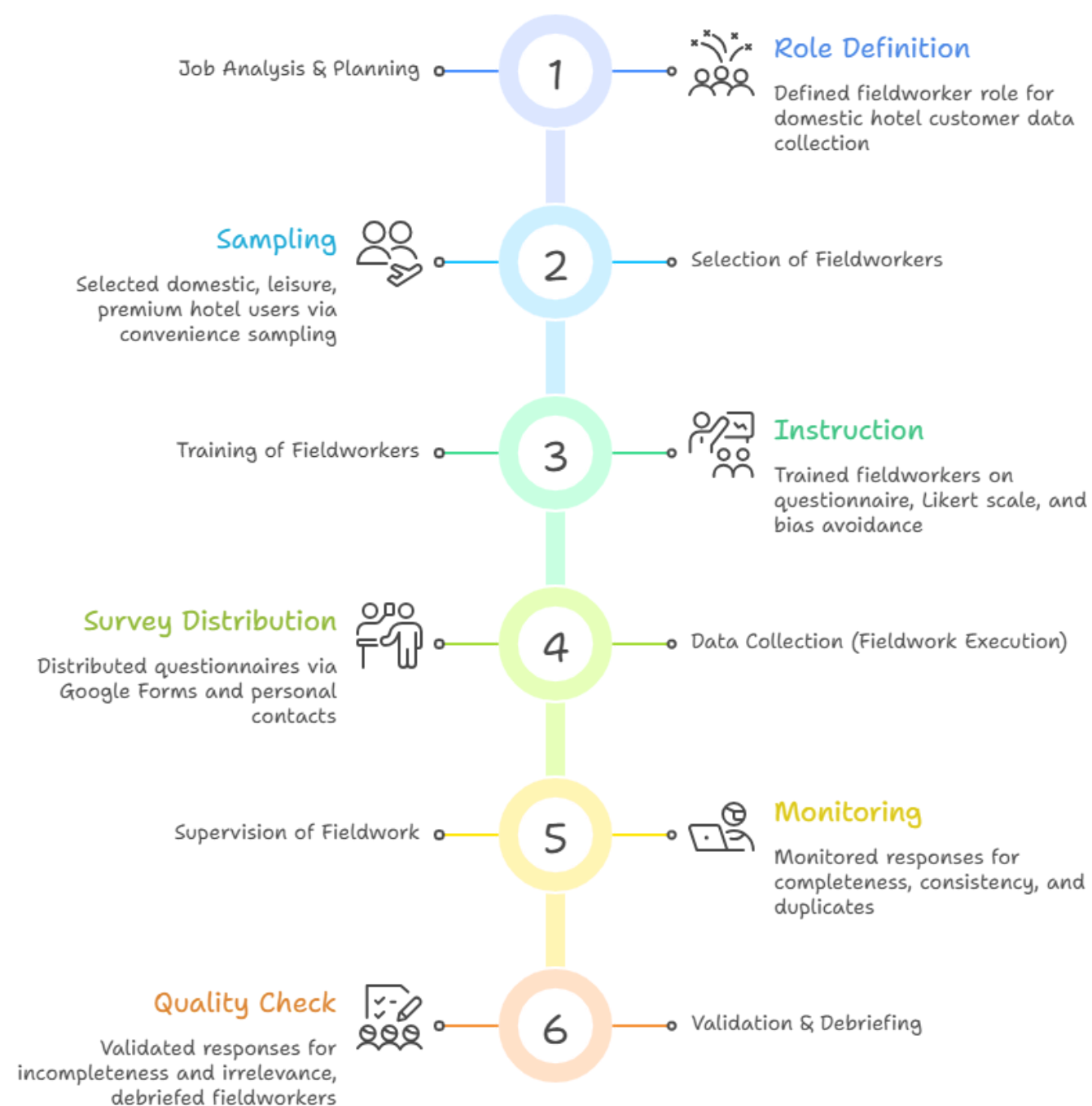
Questionnaire Design

- A structured questionnaire was designed based on:
 - Literature review
 - Research objectives
 - ITC Hotels case requirements
- The questionnaire was created and distributed using Google Forms
- It was designed to collect responses from domestic hotel customers / potential leisure travelers

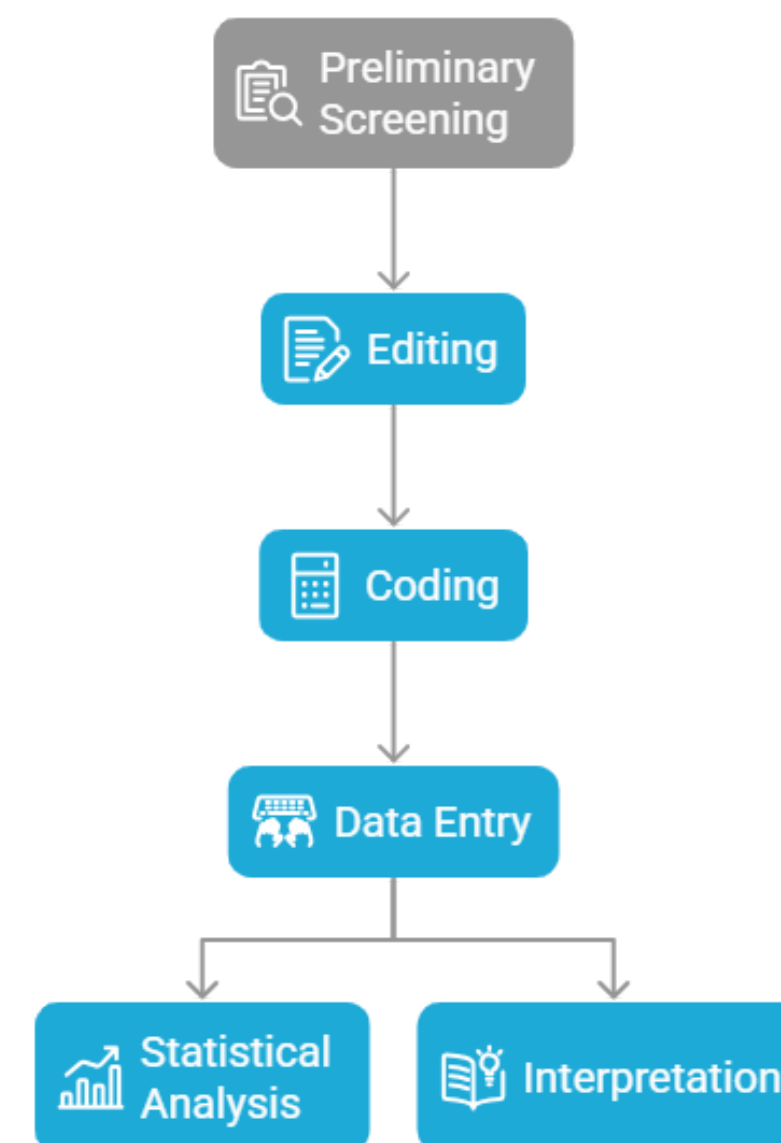


FIELDWORK PROCESS

Fieldworker Data Collection Process



Data Preparation Process



CODING OF RESPONSES & DATA ENTRY

Coding of Responses

- After collecting responses through Google Forms, each response was assigned a numerical code for easy analysis
- Coding was done to convert qualitative responses into quantitative data
- This helped in organizing data for Excel analysis

Coding Pattern Used Likert Scale Questions

- 1 = Strongly Disagree
- 2 = Disagree
- 3 = Neutral
- 4 = Agree
- 5 = Strongly Agree

Satisfaction Scale

- 1 = Very Dissatisfied
- 2 = Dissatisfied
- 3 = Neutral
- 4 = Satisfied
- 5 = Very Satisfied

Example Variable Codes

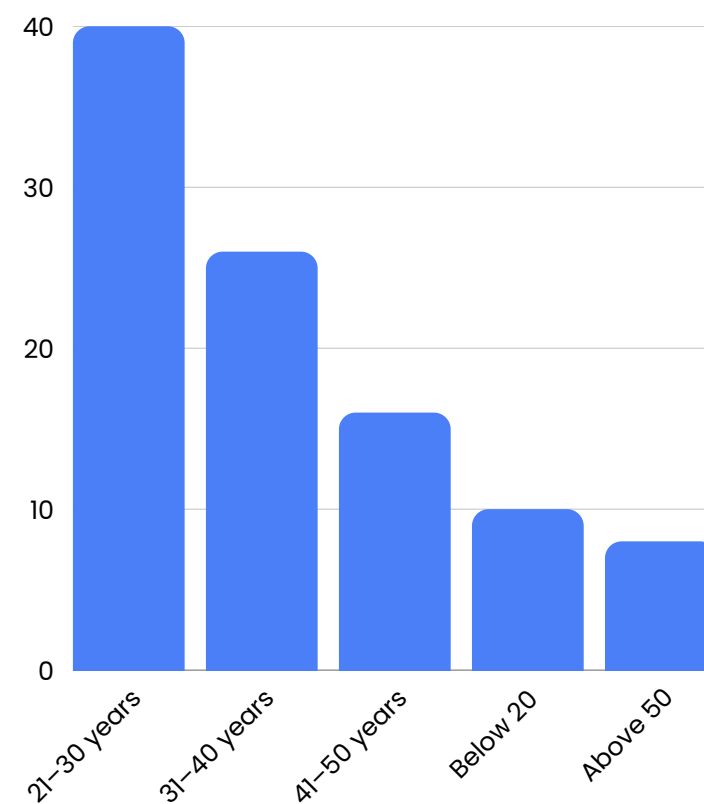
- FQ1 – FQ5 → Food & Beverage Quality
- RS1 – RS5 → Room Service Quality
- HK1 – HK5 → Housekeeping / Cleanliness
- SP1 – SP5 → Swimming Pool Facility
- RF1 – RF5 → Recreation / Leisure Facility
- CS1 – CS5 → Customer Satisfaction
- BI1 – BI5 → Behavioral Intention / Loyalty

AGE	GEN	OCC	INC	MAR	CITY	PSTAY	FREQ	PHC	ITCEXP	FQ1	FQ2	FQ3	FQ4	FQ5	RS1	RS2	RS3	RS4
2	2	1	4	2	Bengaluru	4	3	3	1	3	3	5	2	4	3	4	2	3
5	2	3	2	1	Jaipur	2	3	3	1	5	3	4	5	4	2	4	4	4



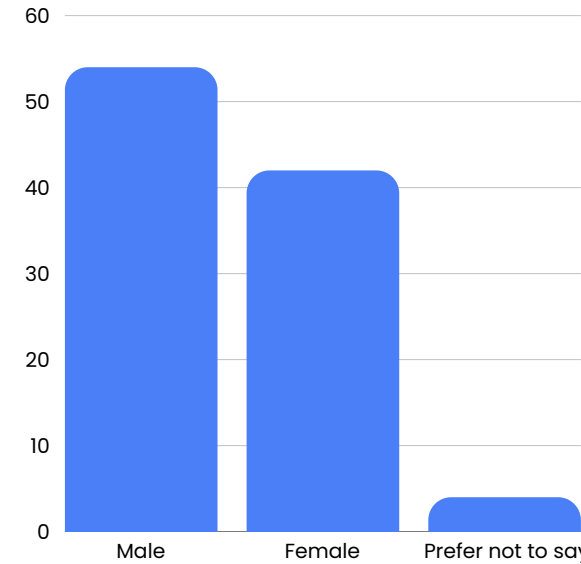
OBSERVATION AND ANALYSIS

A. DEMOGRAPHIC PROFILING (50 RESPONSES)



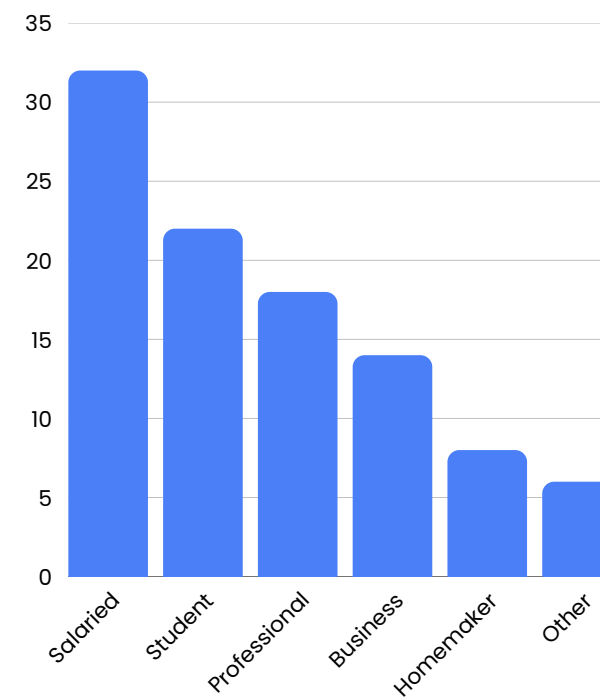
- Most respondents fall in the 21-40 age bracket, which is useful because this segment represents a major share of domestic leisure and premium hotel users.

B. GENDER DISTRIBUTION



- The sample is reasonably balanced and captures views from both male and female travelers.

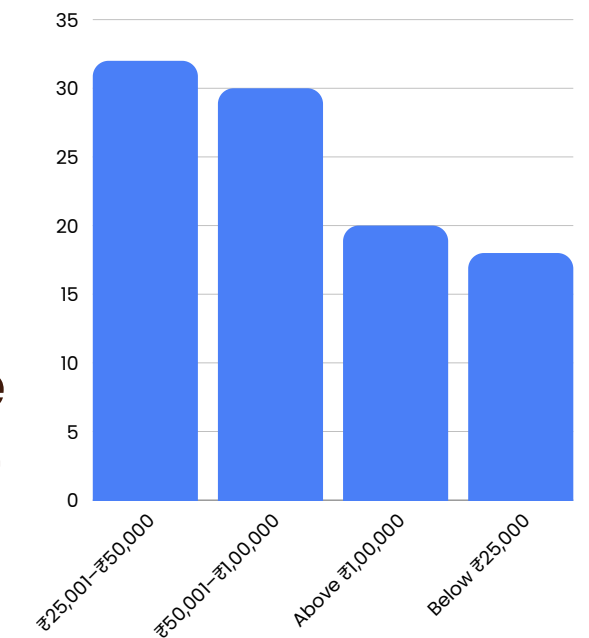
C. OCCUPATION



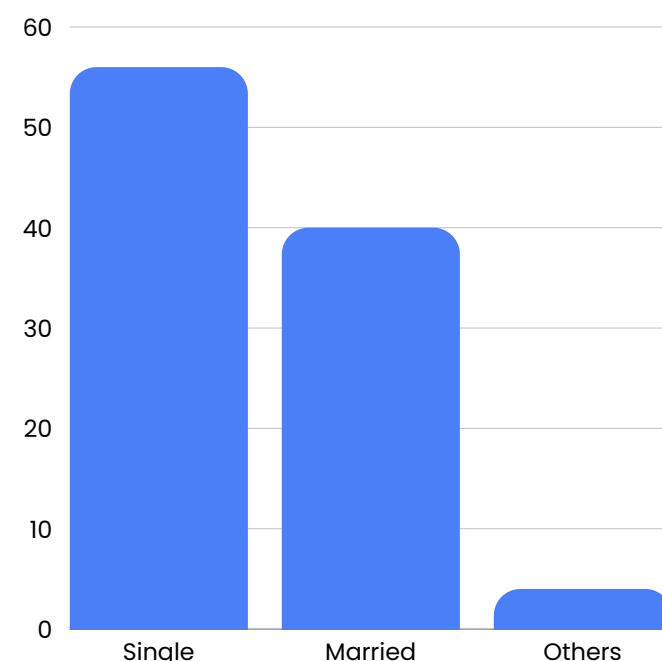
- A large portion of respondents are working professionals, which makes the sample relevant for analyzing both business and leisure hotel preferences.

D. MONTHLY INCOME

- Most respondents belong to the middle to upper-middle income group, making them suitable for evaluating premium and upper-upscale hotel preferences.



E. MARITAL STATUS

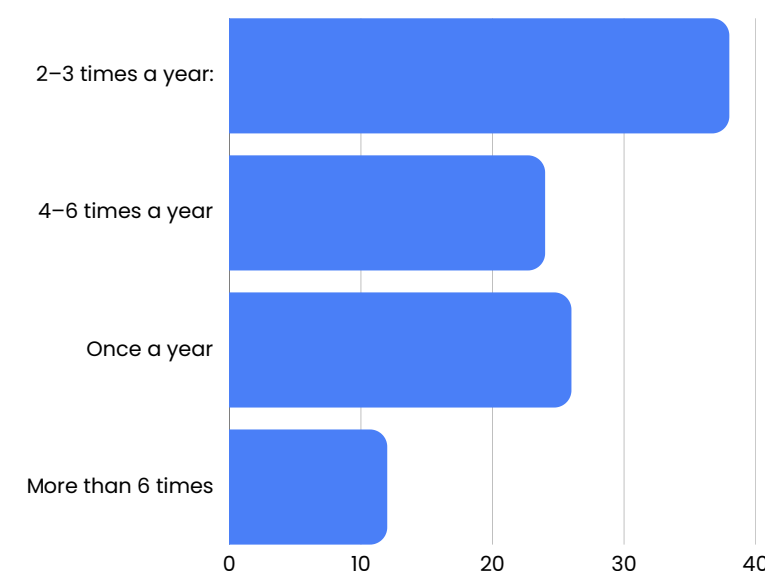


- The sample includes both individual and family-oriented travelers, which is relevant for ITC's leisure positioning.

F. PURPOSE OF MOST RECENT HOTEL STAY

- A majority of respondents are leisure/family travelers, which aligns very well with the ITC case focus.

G. TRAVEL FREQUENCY

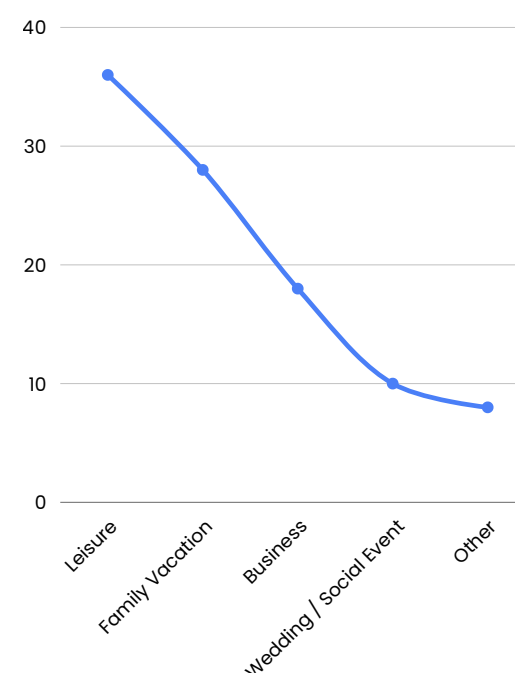


- Most respondents are active domestic travelers, so their opinions are useful for assessing hotel aspirations.

HOTEL SELECTION PREFERENCES

- Cleanliness / Hygiene
- Food Quality
- Room Comfort
- Service Quality
- Safety
- Recreation / Leisure Facilities
- Swimming Pool
- Brand Reputation
- Location
- Price

Domestic travelers appear to value functional comfort and trust factors first (cleanliness, food, comfort), while lifestyle amenities like pool and recreation act as experience enhancers rather than core decision drivers.



MEAN ANALYSIS

A. FOOD & BEVERAGE QUALITY (FQ1–FQ5)

Section Mean: 3.94

Interpretation

- Respondents show a high preference for quality food services, indicating that food is a major contributor to hotel choice and experience.

Most Supported Statements

- Fresh and hygienic food is important
- Quality of food should be consistently high
- Variety of Indian food options matters

B. ROOM SERVICE QUALITY (RS1–RS5)

Section Mean: 3.84

Interpretation

Respondents consider room service to be important, especially in terms of: speed, courtesy, accuracy

C. HOUSEKEEPING / ROOM CLEANLINESS (HK1–HK5)

Section Mean: 4.16 Highest

Interpretation

- This is the highest-rated section, showing that cleanliness is the most important hotel service dimension for domestic travelers.

Most Important Aspects

- Spotless room at check-in
- Bathroom hygiene
- Clean bed sheets / linen
- Fresh and odor-free room

D. SWIMMING POOL FACILITY (SP1–SP5)

Section Mean: 3.58

Interpretation

- The swimming pool is viewed as a moderately important facility. It matters, but not as much as food, room service, or cleanliness.

E. RECREATION / LEISURE FACILITY (RF1–RF5)

Section Mean: 3.68

Interpretation

- Recreation is considered important, particularly for leisure-oriented travelers and families.

F. OVERALL CUSTOMER SATISFACTION (CS1–CS5)

Section Mean: 3.90

Interpretation

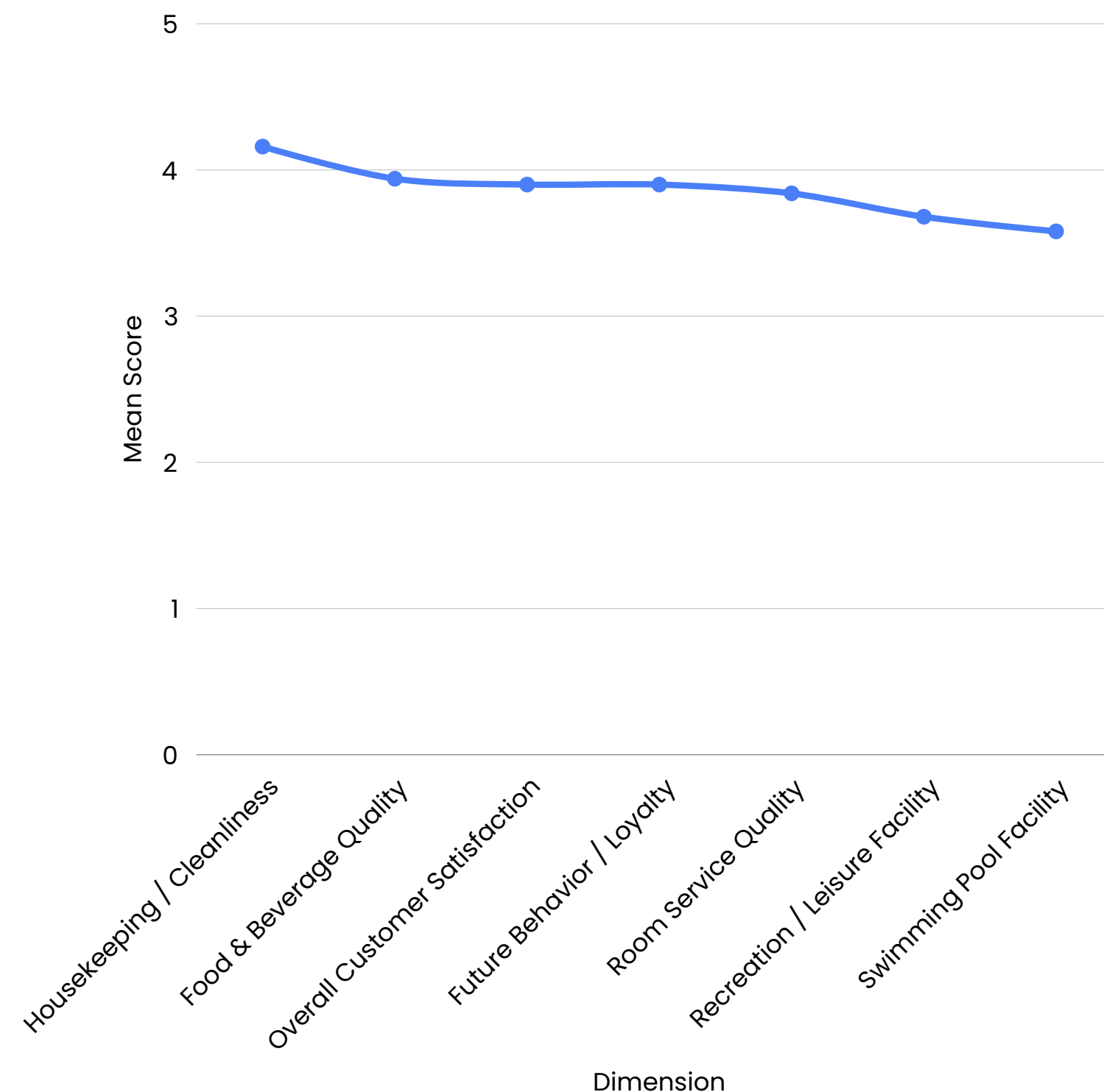
- Overall satisfaction is positive, indicating that respondents generally view strong hotel facilities as important for a satisfying stay.

G. FUTURE BEHAVIOR / LOYALTY (BI1–BI5)

Section Mean: 3.90

Interpretation

- Respondents show a good likelihood of revisit and recommendation if their expectations are fulfilled.



HYPOTHESIS TESTING AND CONCLUSION

H1: FOOD QUALITY INFLUENCES CUSTOMER SATISFACTION

Supported

Food quality received a high mean score (3.94), indicating that it plays an important role in shaping customer satisfaction.

H2: ROOM SERVICE QUALITY INFLUENCES CUSTOMER SATISFACTION

Supported

Room service quality received a positive mean (3.84), showing that convenience and service responsiveness contribute to satisfaction.

H3: HOUSEKEEPING / CLEANLINESS INFLUENCES CUSTOMER SATISFACTION

Strongly Supported

Housekeeping had the highest mean (4.16), suggesting it is the strongest factor influencing customer satisfaction.

H4: SWIMMING POOL FACILITY INFLUENCES CUSTOMER SATISFACTION

Moderately Supported

Swimming pool facilities received a moderate mean (3.58), indicating that while they matter, they are not the strongest driver of satisfaction.

H5: RECREATION FACILITY INFLUENCES CUSTOMER SATISFACTION

Supported

Recreation received a positive mean (3.68), suggesting that leisure amenities contribute to overall hotel experience and satisfaction.

H6: CUSTOMER SATISFACTION INFLUENCES REVISIT / RECOMMENDATION INTENTION

Supported

Customer satisfaction and loyalty-related responses both showed positive mean scores (3.90), indicating that satisfied customers are more likely to revisit and recommend the hotel.

Based on the 50 responses analyzed, the study indicates that domestic hotel customers place the highest importance on housekeeping / cleanliness, food quality, and room service quality. Leisure-oriented features such as recreation and swimming pool facilities also contribute positively, especially for vacation and family travelers. Overall, respondents show a favorable level of customer satisfaction and a positive intention to revisit and recommend the hotel.

Implication for ITC Hotels

- To attract more domestic leisure travelers, ITC Hotels should prioritize:
- superior housekeeping standards
- high-quality food offerings
- efficient room service
- enhanced family-friendly recreation experiences

THANK YOU

